Q.1 Which of the following expression is right?

A. Nominal interest rate = periodic interest rate X number of compounding periods per year
B. Nominal interest rate = periodic interest rate + number of compounding periods per year
C. Nominal interest rate = periodic interest rate / number of compounding periods per year
D. Nominal interest rate = number of compounding periods per year / periodic interest rate

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Q.2 Suppose you will receive a check for $100 two years from today. The discounted present value of this $100 is:

A. $100*(1+i)
B. $100/(1+i)
C. $100*(1+i)2
D. $100/(1+i)2

Q.3 Standard Deviation is more useful as compare to Variance because it is measured in the ---------- as the payoffs.

A. Indifferent units
B. Same units
C. Risk units
D. Same probability

Q.4 The money aggregate M2 includes each of the following EXCEPT:

A. Retail Money Market Mutual fund shares
B. Small denomination time deposits
C. M1
D. U.S. Treasury bills

Q.5 Value at risk (VAR) focuses ---------- outcome of the investment

A. Good
B. Better
C. Worst
D. Best

Q.6 Sum of all the probabilities should be equal to which one of the following?

A. Two
B. One
C. Three
D. Zero

Q.7 Which of the following are used to monitor and stabilize the economy?

A. Commercial Banks
B. Financial institutions
C. Stock exchanges
D. Central Banks

Q.8 Sum of all probabilities must be equal to ----.

A. 1
B. None of the given options
C. -1
D. 100

Q.9 Which of the following is(are) step(s) while calculating variance?

A. Subtract expected value from each possible payoff

B. All of the given options

C. Square the result and multiply by its probability

D. Compute expected value

Q.10 If a bond sells at premium, where price exceeds face value, then we would expect to see:

A. All of the given options

B. Market interest rates below the coupon rate

C. Market interest rate the same as the coupon rate

D. Market interest rates above the coupon rate
